



The ₹165 Crore Tata Tech Exit:

Why Executive Dumps Are A Warning Signal

Inside: The Post-IPO Exit Breakdown



The Illusion of 'Routine Personal Sales'



The Myth: Retail investors assume ex-CEO share sales are merely routine tax planning or personal wealth distribution with zero stock impact.

The Reality: Institutions view massive ₹165 Crore insider liquidations as peak valuation signals, using retail buying power as exit liquidity.

Core Rule: Retail buys narrative. Smart money trades valuation peaks.



3 Realities of Post-IPO Insider Sales



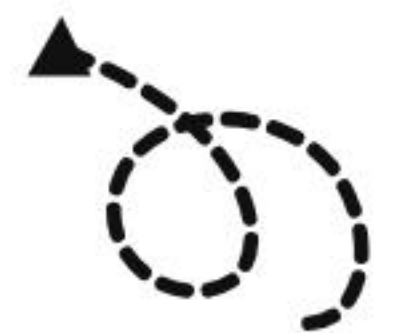
1. Peak Valuation Exit: Insiders liquidate when valuation multiples far exceed long-term sustainable growth rates.

2. Retail Liquidity Trap: Large blocks are dumped into open market order flow, transferring risk to retail buyers.

3. Growth Normalization: Massive sales often precede earnings cycles where post-IPO growth rates begin to normalize.



The Insider Liquidity Extraction Loop



1

EUPHORIA

Post-IPO stock trades at peak multiples

2

LIQUIDITY

Insiders dump equity (e.g. ₹165 Cr)

3

TRANSFER

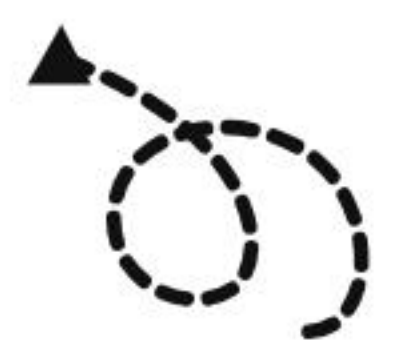
Retail absorbs sell pressure before drop

Promoters and executives capitalize on retail euphoria. Open market selling absorbs liquidity before growth slows.

Takeaway: Never serve as exit liquidity for corporate insiders.



3 Rules Before Chasing Post-IPO Stocks



1. ****The ₹100 Crore Cap****: Avoid aggressive buying if executives liquidate over ₹100 crore post-IPO into retail order flow.
2. ****Audit Lock-In Expiries****: Track anchor and promoter lock-in expiration dates to anticipate supply overhangs.
3. ****Evaluate Earnings Yield****: Value company fundamentals over brand halo—don't pay peak multiples for slowing growth.



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Do you check insider selling data before buying hot post-IPO stocks?

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